AI-Native Private Real Estate Fund

Multifamily Workforce Housing | $1M-$5M Deals | 10-50 Units | Class B/C

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The Opportunity

The U.S. has a 4 million home shortage. Only 28% of buyers can afford a mortgage on a median home. Gen Z rents at 74%. Monthly loan payments beat rents in 48 of the top 50 metros. Demand for rental housing is locked in for a decade.

But 86% of new builds are Class A luxury at 200+ units. Nobody is building the 10-50 unit workforce housing that renters need. Small multifamily runs at 97.2% occupancy. It trades at a 6-7.5% cap rate while large luxury trades at 5.5%. The gap exists because these assets are too hard to manage at scale with old methods. Our AI ops model kills that problem.

Our AI Edge

AI cuts our operating costs 15-25%. One person plus AI does what used to take 3-4. That turns a 6.5% cap rate into a 7.8-8.2% true yield. Above the cost of agency debt. We screen 10x more deals per week. We close faster. We manage cheaper. The cost gap compounds each year.

Three Investment Theses

Thesis	One-Liner	Target Cap Rate	Hold	Risk Level
The Invisible Supply Wall	Nobody is building what renters need. We buy it.	6.5-7.5%	7-10 yr	Low
The Broken Capital Stack	Their debt broke. Not their building. We buy the discount.	7.0-8.5%	5-7 yr	Medium
The Hidden Cost Moat	Insurance + tax gaps create 150-300 bps of hidden yield.	7.5-8.9%	7-10 yr	Low

Thesis 1: The Invisible Supply Wall

Starts fell 53% from peak. Midwest supply dropped below its own 10-year average. Rent growth in the Midwest leads the nation. Cap rates are the highest of any region. We buy tight markets where nobody is building and demand keeps rising.

Market	Occ %	Pipeline %	Rent Growth	Cap Rate	Avg $/Unit
Syracuse, NY	97.4%	<0.5%	+6.5%	8.1-9.6%	$51K-$133K
Lansing, MI	93.9%	<1.0%	+6.7%	9.8%	$57K-$67K
Toledo, OH	92.7%	<0.5%	+3.1%	7.4-9.5%	$48K-$78K
Akron, OH	95.0%	<0.5%	+4.0%	8.3-9.0%	$60K-$77K
Grand Rapids, MI	97.0%	<1.5%	+4.4%	6.5-7.5%	$85K-$110K

Thesis 2: The Broken Capital Stack

$1.5 trillion in CRE loans come due in 2025-2027. Owners who locked at 3-4% now face 6-7%. The loan breaks. The building still works. We buy the discount and rebuild the capital stack with seller carry, assumed loans, and blended sources.

Market	Vacancy	Trend	Job Growth	Discount	Avg $/Unit
Birmingham, AL	13.0%	Pipeline -80%	+1.5%	15-20%	$50K-$100K
OKC, OK	10.0%	Starts -77%	+1.5%	10-15%	$62K-$131K
Chattanooga, TN	10.5%	Only 556 UC	+0.5%	15-22%	$117K-$166K
San Antonio, TX	11.9%	Permits -66%	+2.6%	20-25%	$83K-$150K
Huntsville, AL	8.8%	Fell 120 bps	+3.0%	15-20%	$71K-$140K

Thesis 3: The Hidden Cost Moat

Insurance rose 75% since 2019. But the average hides a wild split. Fort Lauderdale pays $1,700/unit/year. Tulsa pays $300. That gap is $42,000/year on a 30-unit building. It shows up nowhere in cap rate tables. Layer on property tax: Alabama at 0.38% vs Texas at 1.68%. The combined shield is 150-300 bps of hidden yield.

Market	Insurance $/Unit/Yr	Prop Tax	Cap Rate	State Tax	Annual Savings vs Texas
Cheyenne, WY	$450	0.58%	9.4%	0%	$1,900-$2,400
Tulsa, OK	$625	0.94%	8.3%	4.75%	$750-$1,050
Boise, ID	$425	0.44%	5.4%	5.3%	$2,100-$3,200
Pocatello, ID	$413	0.51%	6.3%	5.3%	$1,500-$1,800
Fayetteville, AR	$525	0.59%	6.0%	3.9%	$1,100-$1,700

Sample Deal Pipeline

We found 77 live listings across 25 markets. Here are the top deals by risk-adjusted score.

Property	Market	Price	Units	$/Unit	Cap Rate	Signal
Melrose Apts	Tulsa, OK	$3.65M	52	$70K	8.3%	Assumable debt
Kimton Place	Syracuse, NY	$1.83M	36	$51K	NDA	100% occupied
600 Central Ave	Cheyenne, WY	$1.10M	17	$65K	9.4%	$79/unit tax/yr
Embrey Apts	OKC, OK	$1.50M	24	$62K	~10%	Deep value C
Bryan Manor	Toledo, OH	$1.43M	30	$48K	9.3%	$132K NOI; 92% occ
Leonards Apts	Pocatello, ID	$1.89M	42	$45K	6.3%	42 units; low tax
23-Unit	Lansing, MI	$1.30M	23	$57K	9.8%	Highest cap in T1
914 14th St	Birmingham, AL	$1.80M	18	$100K	7.3%	Full reno; Sec 8

How This Works

Step	What Happens	AI Role
1. Thesis	Pick a market gap the crowd misses. Data-driven, not gut.	Scans job, rent, cost, supply data across 150+ metros weekly.
2. Screen	Filter 500+ deals/week to the top 5% worth reviewing.	AI scores every listing on 6 weighted metrics. Auto-ranks.
3. Stack	Engineer the capital: agency debt + seller carry + LP equity.	Models blended cost of capital across 4 funding sources.
4. Operate	Run buildings at 15-25% lower cost than legacy operators.	AI leasing, maintenance routing, tenant screening, rent optimization.
5. Return	Cash flow to LPs quarterly. Appreciation on exit (5-10 yr).	Portfolio-level data flywheel. Each buy makes the next smarter.

Target Deal Size	$1M - $5M	**Target Units**	10-50 per deal	**Hold Period**	5-10 years
Target Markets	25+ across 15 states	**AI Cost Edge**	15-25% lower OpEx	**Property Class**	B/C Workforce